



Bank Alfalah

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Case Study
Solution Key

Part A: Quantitative Solution

Q1: Market sizing

72,000 RDA holders $\times$ 15% conversion = 10,800 investors.

10,800 investors $\times$ \$5,000 average = \$54 million AUM.

Addressable AUM: \$54 million.

This is a modest start — the real question is whether it's enough to cover costs (see Q2) and whether the base can grow.

Q2: Revenue vs. cost — Year 1 economics

Revenue: \$54M $\times$ 2% (1.5% mgmt + 0.5% FX) = \$1,080,000.

Costs: \$850,000 (setup) + \$500,000 (annual ops) = \$1,350,000.

✗ Year 1 loss: \$270,000 (revenue \$1.08M vs cost \$1.35M).

Breakeven AUM: \$1,350,000 $\div$ 2% = \$67.5 million.

Gap: need \$13.5M more AUM = ~2,700 more investors at \$5,000 each, OR raise average investment to ~\$6,250.

Key insight: the product doesn't fail dramatically — it's 80% of the way to breakeven. The question isn't whether to launch, it's how to close the 20% gap.

Assessor note: The standout insight is that \$270K loss on a product with strategic value is not a dealbreaker — it's an investment in building a diaspora wealth franchise. Candidates who dismiss the product as "unprofitable" miss the bigger picture. Candidates who identify realistic levers to close the gap (higher average ticket, more conversions, phased cost reduction) show commercial maturity.

Part B: Suggested Product Pitch

A strong response should feel like an actual pitch — not a strategy document. Assess whether the team can sell an idea, not just analyze one.

1. Why the original pitch failed

What went wrong	Why it matters
Sold Pakistan risk to people who already live with it	The diaspora doesn't need to be educated about Pakistan. They need solutions that address their concerns: rupee depreciation, political instability, and liquidity. The pitch ignored these.
One product for everyone	A doctor in Dubai, a tech founder in London, and a construction worker in Riyadh have completely different investment needs, risk appetites, and ticket sizes. One product can't serve all three.
No global component	Asking the diaspora to invest exclusively in Pakistan is asking them to concentrate risk in a market they moved away from. They want diversification, not concentration.
Didn't address the rupee question	The #1 concern in the room was currency risk. The pitch had no answer for it — no hedging, no USD-denominated option, no framework for thinking about it.

What to look for: Does the candidate show empathy for the audience? Do they understand that the problem was positioning, not product quality?

2. Target segment + product design

Segment	Why start here	What to offer them
Gulf professionals (doctors, engineers, mid-career)	Largest pool (55% of diaspora), highest savings rates, already familiar with Bank Alfalah's Abu Dhabi Group heritage. Average investable surplus: \$10–25K.	A USD-denominated blended portfolio: 60% global (US/UAE ETFs or Sukuk) + 40% Pakistan (govt securities, blue-chip equities). Managed via Alfa app with quarterly reports. Minimum: \$2,500. This addresses rupee risk by keeping majority in hard currency.

Strong candidates may also suggest a tiered approach: start with Gulf professionals, then expand to UK/US diaspora with a Shariah-compliant variant, and eventually offer a property-backed instrument for real estate investors.

What to look for: *Can the candidate pick one segment and commit, rather than trying to serve everyone? Do they design a product that reflects what the audience actually asked for in the Dubai meeting?*

3. Making the economics work

The Year 1 gap is \$270K. Strong candidates should identify practical levers without just raising fees:

- Increase average ticket: If the product targets Gulf professionals (not workers), the average investment could be \$8–10K instead of \$5K. At \$8K, AUM jumps to \$86.4M and revenue to \$1.73M — comfortably profitable.
- Phase the build cost: Don't build a full platform on day one. Start with a manually managed portfolio for the first 200 investors, using existing treasury infrastructure. Automate only after product-market fit is proven. This could cut the \$850K setup cost to \$300–400K.
- Cross-sell revenue: Every diaspora investor who opens an investment account is also a potential remittance customer, deposit holder, and credit card user. The lifetime value extends far beyond the 2% management fee.
- Year 2 economics improve naturally: no setup cost, AUM grows organically through additional deposits and market returns, and fee revenue compounds.

What to look for: *Does the candidate think beyond Year 1? Do they recognize that the \$270K gap is small relative to the strategic value of owning a diaspora wealth franchise?*

4. The opening slide

The case asks: "What's the one thing you'd put on the opening slide?" This tests whether candidates can distill a complex proposition into a single compelling idea.

Examples of strong answers:

- "Your money left Pakistan. It doesn't have to stay away." — emotional, identity-driven.
- "\$38 billion flows home every year. Where does it go after it arrives?" — challenges the status quo.
- "Invest globally. Stay connected locally. Bank Alfalah + Abu Dhabi Group." — leverages the brand.

Weak answers: generic statements like "Secure your future" or "Invest with confidence" that could apply to any bank in any country.

What to look for: *This is a creativity and communication test. Can the candidate express a big idea simply? Does it connect emotionally, not just logically?*